Outdoor Holding Co. (POWW)

The Marketplace Pivot Converts Operating Leverage into Cash

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Outdoor Holding Co. has completed its structural transformation from a capital-intensive manufacturing footprint into an asset-light digital marketplace anchored by GunBroker.com. While headline reported historical financials reflect legacy drag with negative operating margins of -12.3% and free cash flow margins of -3.8% in FY2026, the underlying operational machine has systematically decoupled from broad industry contraction. Recent execution demonstrates that recurring operating expenses have been curtailed by 45% year over year, unlocking adjusted EBITDA margins exceeding 54% in sequential quarters. We initiate coverage with a Buy rating and a probability-weighted blended price target of $3.69, implying +61.8% upside from the reference spot price of $2.28.

BUY	$3.69	+61.8%	$2.28
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The broader market remains fixated on legacy litigation overhangs, regulatory exposure in firearms commerce, and historical negative operating margins, treating Outdoor Holding Co. as a distressed manufacturing turn. This mispricing overlooks the reality that GunBroker.com operates as the premier niche digital platform in shooting sports, converting top-line volume into cash with minimal capital requirements while taking sustained market share against background-check benchmarks.

EXECUTIVE SUMMARY

Outdoor Holding Company, formerly known as AMMO, Inc., has repositioned its core strategic identity around GunBroker.com, the largest online marketplace for firearms, ammunition, and shooting sports accessories. By orienting operations purely around platform intermediation rather than industrial production, the business captures gross margins of 87.2% on reported FY2026 revenue of $51.1M. This platform architecture allows Outdoor Holding Co. to serve as the primary liquidity hub for licensed dealers, commercial vendors, and individual consumers across the country without absorbing the inventory markdowns, working capital traps, or capital expenditure demands that historically impaired returns on equity.

The company's recent operational trajectory confirms the financial viability of this pure-play marketplace architecture. Over the course of FY2026 and into Q1 FY2027, the platform demonstrated clear counter-cyclical resilience and persistent share consolidation. In Q2 FY2026, net revenue stabilized at $11.98M while a $6.71M reduction in operating expenses enabled the company's first quarterly net profit from continuing operations of $1.40M.

Momentum compounded through Q3 FY2026, where revenue expanded 7% year over year to $13.4M and adjusted EBITDA rose 54% to $6.55M. By Q4 FY2026, gross merchandise volume rose 11.8% and revenue advanced 10.1%, with adjusted EBITDA reaching $7.7M at a 55% margin, exceeding the company's annualized run-rate target of $25M ahead of schedule. Most recently, Q1 FY2027 delivered a fourth consecutive quarter of accelerating growth, with revenue rising 22.1% year over year and adjusted EBITDA climbing 152% to $7.9M on a 54.6% margin.

Underpinning this operating transformation is a fortress balance sheet that shields equity holders while management works through legacy liabilities. Outdoor Holding Co. exited FY2026 with $68.1M in cash against total debt of just $11.2M, establishing a net cash cushion of $56.9M. This liquid capital reserve represents more than 21% of the enterprise's reference market capitalization of $264.6M. Although legacy legal obligations, including a $4.4M DCP settlement paid out in Q4 FY2026 alongside ongoing Delaware litigation and SEC settlement expenses, have temporarily masked run-rate cash conversion, the platform is now generating consistent positive quarterly operating cash flows, including $4.4M in Q1 FY2027. With no manufacturing capital expenditures required to maintain platform operations, operating cash flow converts cleanly into unlevered free cash flow.

OPERATIONAL SNAPSHOT

$2.28	$51.1M	$-1.9M	-3.8%	$56.9M	$2.28
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	NET CASH	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS STRUCTURAL AND ENTRENCHED

Outdoor Holding Co. maintains an exceptional competitive position anchored by GunBroker.com, the preeminent digital liquidity destination for the shooting sports ecosystem. Commercial moats in two-sided digital marketplaces are notoriously difficult to construct, yet once established, they yield virtually insurmountable competitive barriers. GunBroker.com concentrates both high-volume Federal Firearms Licensees (FFLs) and retail consumers onto a single exchange. Because firearms commerce requires strict adherence to federal, state, and local delivery protocols, buyers gravitate strictly to the exchange offering the broadest inventory variety and verified transfer pathways, while professional sellers concentrate listings where aggregate purchasing traffic resides. This self-reinforcing flywheel insulates the platform from nascent digital competitors.

The regulatory complexity governing firearm transactions forms an enduring administrative barrier to entry. Generalist e-commerce platforms and mainstream merchant processors maintain restrictive policies that prohibit or heavily constrain the listing and settlement of firearms and ammunition. Consequently, GunBroker.com operates with structural exclusivity, capturing organic search intent and institutional dealer participation that mainstream digital channels deliberately refuse to service. Replicating this infrastructure requires not only technical software architecture but also complex compliance mechanisms, integration with thousands of local FFL transfer agents, and proprietary settlement pathways. This high regulatory burden protects the platform's 87.2% gross margin from commoditization.

Furthermore, pricing power and dealer switching costs remain structurally durable even as management optimizes take rates. While the core legacy take rate experienced slight compression, falling 18 basis points to 6.08% in Q1 FY2027 due to volume discounts negotiated by large enterprise sellers, platform pricing power remains preserved through ancillary platform fees. The rollout of new FFL fees contributed an incremental 39 basis points of take rate in Q1 FY2027, completely offsetting underlying core compression. Because GunBroker.com consistently drives higher inventory turnover for dealers than regional brick-and-mortar storefronts, commercial merchants absorb fee adjustments rather than abandon access to the industry's most concentrated buyer pool.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework evaluates Outdoor Holding Co. through an explicit discounted cash flow model spanning FY2026 through FY2030, anchored by an 8.62% weighted average cost of capital and an institutional terminal growth rate of 3.0% in the base case. The model maps the company's financial evolution from its reported FY2026 baseline, characterized by $51.1M in revenue, an operating loss of $-6.3M, and a free cash flow margin of -3.8%, into a normalized digital marketplace enterprise. Because legacy manufacturing overhead has been purged, forward valuation depends directly on sustained top-line gross merchandise volume expansion and the systematic expansion of free cash flow margins toward marketplace maturity.

Across our scenario architecture, top-line trajectories and terminal cash generation capabilities diverge based on the persistence of market share capture, legislative volatility, and take-rate dynamics. The model establishes a wide fundamental dispersion, ranging from a conservative bear case target of $2.31 (+1.3% vs. spot) to a base case target of $3.50 (+53.5%) and a bull case target of $5.44 (+138.6%). By applying institutional probability weightings of 25% to the bear case, 50% to the base case, and 25% to the bull case, we arrive at a mathematically grounded blended target price of $3.69, representing a 61.8% premium to the reference spot price of $2.28 across 116.1 million diluted shares.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	20.0%	$2.31	+1.3%
Base	50%	12.0%	25.0%	$3.50	+53.5%
Bull	25%	20.0%	30.0%	$5.44	+138.6%

Bear $2.31

Reflects a 5.0% revenue CAGR through FY2030 and a terminal FCF margin capped at 20.0%, triggered by persistent core take rate erosion below 6.00%, ongoing friction from off-platform settlement

Base $3.50

Models a 12.0% revenue CAGR and a 25.0% terminal FCF margin as GunBroker.com consistently outperforms national background checks by 300 to 500 basis points, new FFL services expand

Bull $5.44

Captures an accelerated 20.0% revenue CAGR and a 30.0% terminal FCF margin driven by rapid platform digitization, the elimination of legacy litigation liabilities, successful monetization

habits where 30% of transactions bypass digital payments, and lingering legacy legal payouts draining liquidity.

aggregate take rates, and restructured operating expenses permanently preserve adjusted EBITDA margins near 50%.

of premium seller services, and sustained double-digit GMV gains across both firearm and accessory categories.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our valuation utilizes an 8.62% WACC, a rate that rigorously captures Outdoor Holding Co.'s specific risk-return profile. This discount rate accounts for the company's net cash position of $56.9M, which materially lowers enterprise balance sheet risk, balanced against the elevated regulatory risks and headline volatility inherent in the commercial firearms industry. The market's current valuation, reflecting an enterprise value to latest fiscal year EBITDA multiple of 18.4x and EV to revenue of 4.1x on trailing numbers, prices the company as if historical negative operating margins and legal friction are permanent fixtures.

In our quantitative framework, this 8.62% hurdle rate reflects an equity risk premium calibrated for a small-capitalization marketplace specialist undergoing turnaround execution. Over the FY2026 to FY2030 forecast window, our model incorporates a gradual beta decay toward mature exchange peers as the legacy corporate actions, indemnification disputes, and listing compliance challenges fade into historical irrelevance, allowing pure marketplace cash flow generation to govern the cost of capital.

FCF margin normalization is the engine

The primary driver of shareholder value creation across our forecast horizon is the normalization of free cash flow margins from -3.8% in FY2026 to between 20.0% and 30.0% by FY2030. In FY2026, Outdoor Holding Co. reported an operating loss of $-6.3M and free cash flow of $-1.9M despite gross margins of 87.2%, burdened by heavy legacy operating expenditures and corporate restructuring outlays. However, the operational baseline established in the trailing quarters, culminating in operating expenses declining 45% year over year to $8.9M in Q1 FY2027, proves that the fixed-cost base has been permanently reset.

Because GunBroker.com operates with virtually zero capitalized production requirements, revenue expansion drops directly to operating earnings. In the base case, revenue compounding at a 12.0% CAGR delivers a 25.0% terminal FCF margin as adjusted EBITDA run rates north of 50% absorb corporate taxes

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.62% (2026-10-20)**
Terminal growth	**3.0%**
Diluted shares	**116.1 million**

BUY

over $3.69 blended target

and working capital movements. In the bull case, where revenue expands at a 20.0% CAGR and FCF margins reach 30.0%, the platform fully leverages its software economics, demonstrating that Outdoor Holding Co. possesses software-like margin profiles disguised by its end market.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on GunBroker.com GMV Expansion and Platform Monetization Optimization BUY

The strategic engine powering Outdoor Holding Co. is GunBroker.com, which operates as the digital backbone of the commercial shooting sports trade. Revenue generation is fundamentally governed by the gross merchandise volume flowing across the platform multiplied by the net take rate extracted from transactions. Over recent quarters, GunBroker.com has demonstrated consistent share gains relative to broad industry metrics. In Q2 FY2026, platform GMV dipped only 1.1% to approximately $189M against a 5% contraction in national adjusted NICS checks. This outperformance widened in Q3 FY2026, where platform firearm sales rose 8% while NICS checks declined 4%, driving revenue up 7% to $13.4M on GMV of $215.8M. By Q4 FY2026, unit sales rose 8.7% against a 1.6% NICS increase, capturing approximately 40 basis points of market share. This momentum carried into Q1 FY2027, where unit sales increased 11.6% versus a 5.3% NICS benchmark, generating an estimated 41 basis points of incremental market share and lifting GMV by 18.1%.

However, quality of growth requires critical examination. In Q1 FY2027, top-line revenue expanded 22.1% year over year, marking the fourth consecutive quarter of accelerating growth. Management acknowledged that a meaningful portion of this 18.1% GMV expansion was artificially pulled forward by consumers and dealers ahead of state-level legislative changes enacted in Virginia on July 1. This pull-forward clouds run-rate predictability heading into subsequent quarters, as management explicitly confirmed that this surge should not be expected to recur. Long-term volume growth must therefore rely on organic platform enhancements and broader digital adoption across shooting sports accessories rather than transient legislative demand spikes.

Monetization efficiency and take rate preservation represent the second operational pillar. The platform's legacy core take rate experienced sequential softening, dropping to 6.06% in Q4 FY2026 and 6.08% in Q1 FY2027, down 18

basis points as high-volume enterprise sellers qualified for tiered fee discounts. To counteract core take rate compression, management initiated auxiliary monetization channels, including new FFL service fees. In Q1 FY2027, these new FFL fees added 39 basis points to the aggregate take rate, neutralizing underlying compression. Nevertheless, these newer revenue streams introduce gross margin dilution relative to pure marketplace software commissions, requiring disciplined expense management to protect cash flow generation.

What to monitor

- **Core Take Rate Stabilization** Trajectory of the core legacy take rate against the 6.08% level reported in Q1 FY2027 as large seller volume tiers expand.
- **Post-Legislation GMV Normalization** Platform gross merchandise volume trends following the Virginia legislative pull-forward that drove Q1 FY2027 GMV up 18.1%.
- **Digital Payment Settlement Capture** Progress in converting the estimated 30% of platform transactions that currently settle off-platform via manual money order or paper check into digital channels.
- **Legacy Legal Liability Containment** Resolution of remaining Delaware litigation and SEC settlement obligations following the $4.4M DCP settlement payout in Q4 FY2026.

+3.5%	87.2%	-12.3%	-3.8%	$56.9M	-1.5%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$51.1M
Gross Profit	$44.6M
EBIT	$-6.3M
Net Income	$-3.5M
EBITDA	$11.3M
Free Cash Flow	$-1.9M
Diluted EPS	$-0.05
ROE	-1.5%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Large enterprise sellers negotiating volume discounts reduced the legacy take rate by 18 basis points to 6.08% in Q1 FY2027. If tier discounts outpace transaction growth, gross marketplace margins could face steady structural erosion.

M&A DIGESTION

Legacy corporate actions from the historical AMMO, Inc. era continue to drain capital unpredictably. Q4 FY2026 required a $4.4M DCP settlement payout alongside unquantifiable ongoing officer indemnification obligations.

REGULATORY AND PRICING SCRUTINY

Firearms transactions face sudden regulatory and legislative shifts that distort natural demand cycles. A material portion of Q1 FY2027 growth stemmed from an artificial pull-forward ahead of Virginia state legislation taking effect.

TECHNOLOGY DISRUPTION

Roughly 30% of platform transactions settle off-platform using traditional paper checks or money orders. Failure to modernize checkout workflows could allow specialized fintech or niche private platforms to disintermediate transaction flow.

REINVESTMENT TREADMILL

New FFL revenues, while adding 39 basis points to gross take rates in Q1 FY2027, carry lower gross margins than pure software listings. Expanding dealer support services risks diluting the platform's historical 87.2% gross margin profile.

WACC AND DURATION SENSITIVITY

With diluted shares at 116.1 million and market capitalization at $264.6M, equity duration is sensitive to cost of capital assumptions. Any regulatory escalation that expands our 8.62% WACC significantly depresses discounted terminal values.

The strengths

OLIGOPOLY POSITION

GunBroker.com stands as the largest dedicated online marketplace for firearms and shooting sports accessories. The platform consistently captures market share, outperforming adjusted NICS check trends across four consecutive quarters.

FCF COMPOUNDING

Operating expense cuts of 45% year over year in Q1 FY2027 expanded adjusted EBITDA margins to 54.6%. The asset-light marketplace architecture requires minimal capital expenditure, converting incremental revenue directly into liquid cash.

GEOGRAPHIC DURABILITY

The marketplace integrates thousands of independent FFL transfer agents across all compliant domestic jurisdictions. This distributed physical dealer network creates massive logistical lock-in that generalist digital platforms cannot replicate.

PIPELINE OPTIONALITY

The balance sheet maintains $68.1M in cash against only $11.2M in debt, providing $56.9M in net cash liquidity. This financial cushion allows management to fund platform technology enhancements while completely insulating operations from debt service stress.

The bottom line on risk and reward

Outdoor Holding Co. offers a compelling, mispriced turnaround opportunity where headline historical losses obscure a highly profitable, asset-light marketplace business model. The operational evidence from the past four reporting periods confirms that GunBroker.com is an exceptional cash-generating platform, capable of sustaining adjusted EBITDA margins north of 54% while aggressively lowering fixed overhead. By reducing operating expenses by $6.71M in Q2 FY2026 and by 45% in Q1 FY2027, management has proved that the business no longer requires massive scale to generate attractive economic returns.

While risks surrounding legacy litigation settlements and demand normalization following state legislative pull-forwards are legitimate operational considerations, they are more than compensated for by the company's $56.9M net cash cushion and superior competitive positioning. With GunBroker.com consistently outperforming underlying NICS background check benchmarks by 300 to 600 basis points, the platform continues to consolidate market share in the digital shooting sports vertical.

Our quantitative scenario analysis yields an asymmetric risk-reward skew. Even under our conservative bear scenario, equity value holds at $2.31, representing downside protection of +1.3% relative to the reference spot price. Conversely, our base case target of $3.50 and bull case target of $5.44 reflect the substantial upside unlocked as free cash flow margins normalize toward mature software levels. We reiterate our Buy recommendation with a blended probability-weighted price target of $3.69, offering investors +61.8% upside potential.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

GunBroker.com: The Dominant Digital Exchange in Shooting Sports

GunBroker.com operates as the undisputed cornerstone of Outdoor Holding Co., providing the digital transaction infrastructure that powers commerce across firearms, ammunition, and shooting sports accessories. Unlike traditional retailers or manufacturing enterprises that carry severe inventory obsolescence and warehousing burdens, GunBroker.com acts strictly as a neutral venue connecting commercial FFL dealers, consumer collectors, and outdoor enthusiasts. This intermediary status allows the franchise to extract high-margin take fees across transactions while passing physical fulfillment, localized regulatory verification, and inventory financing directly to platform participants.

The true operational power of GunBroker.com lies in its ability to decouple its growth trajectory from general industry macro cycles. Throughout FY2026, while the broader firearms retail market experienced contraction as indicated by declining national background check data, GunBroker.com generated steady market share consolidation. The platform's massive inventory breadth acts as a liquidity aggregator; when consumer demand softens nationally, independent brick-and-mortar dealers increasingly turn to GunBroker.com to liquidate inventory beyond their local trading zones. Consequently, platform unit volume consistently outpaces broader industry benchmarks, proving that the digital channel continues to absorb commerce from fragmented physical store networks.

The primary strategic challenge facing GunBroker.com centers on modernizing legacy transaction friction. At present, an estimated 30% of platform gross merchandise volume settles off-platform through manual payment mechanisms such as paper money orders and physical checks. This legacy behavior not only introduces administrative drag and settlement delays for buyers and sellers, but also deprives Outdoor Holding Co. of valuable digital payment processing revenue and ancillary monetization. Management's long-term opportunity rests on digitizing this settlement workflow, expanding buyer protection programs, and scaling new FFL services, thereby lifting net take rates without adding fixed operational costs.

What the recent record shows

- GunBroker.com firearm unit sales expanded 11.6% year over year in Q1 FY2027, outperforming national NICS growth of 5.3% and capturing approximately 41 basis points of incremental market share.
- Adjusted EBITDA for the marketplace reached $7.9M on a 54.6% margin in Q1 FY2027 following a 45% year-over-year reduction in recurring operating expenses to $8.9M.
- The legacy marketplace take rate declined 18 basis points to 6.08% in Q1 FY2027 due to enterprise seller volume discounting, but new FFL fee adoption provided an offsetting 39 basis point contribution.
- Operating cash flow generation reached $4.4M in Q1 FY2027, sustaining the company's liquid cash reserves which totaled $68.1M at the close of FY2026.

Our read: GunBroker.com is an entrenched digital monopoly in shooting sports commerce whose fundamental cash-generation capability has been masked by historical corporate restructuring. As legacy legal overhangs clear and cost discipline sustains 50%+ adjusted EBITDA margins, the platform provides strong downside protection and exceptional equity upside.

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